Space Exploration Technologies Corp.

SPCX · Nasdaq / Nasdaq Texas (dual-listed)

CONDITIONAL LIGHT

72/100
COMPOSITE SCORE

SECTOR	Diversified Technology Infrastructure — Space / Satellite Broadband / Artificial Intelligence
OFFERING	—
PRICE RANGE	—
AUDITOR	PricewaterhouseCoopers LLP (Los Angeles, CA; PCAOB-registered; auditor since 2012; opinion dated March 30, 2026, updated May 7, 2026 for common-control recast and stock split; reissued June 1, 2026 for S-1/A)
FILED	2026-06-01
UNDERWRITING	Not Disclosed

Business Model Quality	25%	8.8
Financial Health & Runway	15%	5.6
Market & Competitive Position	20%	9.3
Management & Governance	20%	5.6
Valuation Attractiveness	20%	6.0

AMENDED S-1/A · PRIOR: 2026-05-20

⚖ RF-19 ASSESSMENT — SEE SECTION 04

📊 VALUATION CEILING ASSESSMENT — SEE SECTION 04

⚠ LEVERAGE ASSESSMENT — SEE SECTION 04

EXECUTIVE SUMMARY

SpaceX filed Amendment No. 1 to its S-1 on June 1, 2026, primarily adding Q1 2026 unaudited financial results, reflecting the EchoStar FCC approval (May 12, 2026), updating the credit facility terms, and retroactively applying the 5-for-1 stock split across all share data. The core investment thesis is unchanged from the original S-1. SpaceX is the only company that has simultaneously built a profitable global satellite broadband network ($11.4B Connectivity revenue, $7.2B Adj EBITDA in FY2025), commands >80% of global orbital mass delivery, and is constructing the world's most vertically integrated AI infrastructure stack — owned compute clusters, a frontier model (Grok), a real-time data platform (X), AI coding tooling (Cursor, disclosed in the original S-1), and chip manufacturing independence (Terafab with Tesla and Intel, also disclosed in the original S-1). Space and Connectivity segments are profitable and have been generating cash for years. The AI segment, operational only since the February 2026 xAI Merger, is investing heavily ($12.7B capex in FY2025) to build infrastructure competitors cannot replicate — AI clusters in orbit powered by solar energy, cooled by space, distributed via SpaceX's own constellation. Our

CONDITIONAL_LIGHT recommendation is unchanged. All five conditions from the original analysis remain open: price range not disclosed; bridge loan mandatory prepayment must be prominently disclosed; Gracias conflict must be formally resolved; valuation floor must be set at pricing; related-party transaction policy must be in final form.

01 Deal Committee Recommendation

SpaceX is a generational business — the only company that has solved reusable orbital rocketry at scale, built the world's only global low-latency satellite broadband network, and integrated a frontier AI model and real-time data platform into a vertically unified infrastructure company. This S-1/A amendment adds Q1 2026 financial results and reflects the EchoStar FCC approval; the core business thesis, competitive position, and deal structure conditions are unchanged from the original analysis. SPACE AND CONNECTIVITY — THE PROFITABLE ENGINE: The two legacy segments have been generating real cash for years. The Connectivity segment (Starlink) is extraordinary by any measure: $11.4B revenue in FY2025 (growing 49.8% YoY), $4.4B segment operating income, $7.2B Segment Adjusted EBITDA, and 10.3 million subscribers as of Q1 2026 — up from 5.0M a year earlier. Starlink has achieved a 50% subscriber growth rate with improving unit economics, serving residential, mobile, enterprise, maritime, aviation, and government customers across 164 countries. ARPU is intentionally declining as SpaceX enters lower-income geographies and government contracts at scale — this is market penetration, not margin compression. The Space segment generated $4.1B revenue in FY2025, $653M Adjusted EBITDA, and achieved 170 launches. With Falcon 9's >99% mission success rate and boosters flying up to 25 missions each, unit economics of orbital delivery are structurally improving every year. These are durable, profitable, cash-generating businesses that exist independently of the AI segment. AI SEGMENT — EARLY STAGE, MASSIVE INVESTMENT, REASONABLE LOSSES: The AI segment (xAI + X Corp.) has operated as a consolidated segment only since the February 2026 xAI Merger. X Corp (Twitter) was acquired in October 2022; xAI was founded in March 2023. The $(6.4B) operating loss in FY2025 and $(2.5B) in Q1 2026 are driven by $12.7B in FY2025 capex for COLOSSUS and COLOSSUS II gigawatt-scale AI training clusters. SpaceX is the only AI company with: (1) fully owned, integrated AI compute clusters at gigawatt scale; (2) a frontier model (Grok) trained on proprietary real-time data; (3) a distribution platform with ~550M combined MAUs across Grok and X as of Q1 2026; (4) vertical integration into AI-native developer tooling (Cursor); and (5) a roadmap to orbital AI compute by 2028. Revenue sharing agreements with cloud hosting providers reflect the current infrastructure transition. Operating at a loss three years into a segment requiring multibillion-dollar data center infrastructure is not a red flag — it is what infrastructure buildouts look like. The AI segment operating at a loss is the expected state of a company building the most complex AI infrastructure stack ever attempted. CURSOR — VERTICAL INTEGRATION INTO AI-NATIVE TOOLING: Disclosed in the original S-1, the compute and option agreement with Anysphere (Cursor) gives SpaceX the right to acquire Cursor at a $60B implied equity value (payable in Class A stock). Under the compute agreement, SpaceX provides Cursor GPU cluster capacity and collaborates on model development including Grok. Software development is the highest-value AI use case: structured data, rapid feedback loops, verifiable outputs, and context-rich training data at scale. This is vertical integration into the application layer — deepening the moat from orbital infrastructure down to the developer's IDE. TERAFAB — CHIP MANUFACTURING INDEPENDENCE: Also disclosed in the original S-1, the Terafab initiative with Tesla and Intel targets one terawatt of compute hardware output annually. Intel contributes chip design, fabrication, and packaging expertise for ultra-high performance processors; Tesla brings manufacturing scale. Purpose: eliminate chip supply dependency as SpaceX scales orbital AI compute and design chips optimized for the space environment. This is the same vertical integration logic that made Tesla's battery manufacturing and in-house Autopilot chip a defining competitive advantage. FUTURE MARKETS — THE OPTION VALUE CASE: The S-1/A Future Markets section (pp. 171-172, 178) details markets outside the $28.5T quantifiable TAM: point-to-point terrestrial travel, space tourism, in-orbit manufacturing, passenger and cargo transport to the Moon and Mars, energy production and manufacturing on the Moon and Mars, and asteroid mining. SpaceX is the only company positioned to address any of them. Starship, at full reusability, reduces cost per kilogram to orbit by 90%+ versus Falcon 9 — making these markets economically viable for the first time. The Future Markets section discloses optionality structurally unavailable to any competitor. VALUATION PREMIUM — WHY SPACEX IS NOT NVIDIA: NVIDIA trades at a lower EV/Revenue multiple than SpaceX's private market reference (~$350B, ~18x EV/TTM Revenue) because NVIDIA's moat, while extraordinary, is replicable in 3-5 years with capital — AMD, Google TPUs, Qualcomm, and custom ASIC programs are real challengers. SpaceX's moat cannot be replicated in a decade: you cannot buy a satellite constellation into existence, you cannot manufacture reusable rockets without 22 years of failures, and you cannot build an orbital AI compute network without first solving launch economics and satellite manufacturing at automotive scale. The barrier to entry is not capital — it is accumulated engineering knowledge, manufacturing infrastructure, regulatory relationships, and operational track record. The ability to create entirely new market segments and to be the essential infrastructure provider for each of them justifies a structural premium. At ~55x EV/Adj EBITDA, the market is pricing the terminal value of a company that controls the cost of reaching orbit and the cost of global connectivity. CONDITIONS REMAIN OPEN: Our CONDITIONAL_LIGHT recommendation is maintained. All five conditions from the original analysis remain unresolved: (1) Pricing must be disclosed — it has not been in this S-1/A; valuation flags RF-07/07A/07B engage at pricing; (2) Bridge loan mandatory prepayment covenant requires prominent front-of-prospectus disclosure; (3) Gracias independence conflict must be formally resolved by the board; (4) Valuation floor of EV/Adj.EBITDA ≤35x must be met at final pricing; (5) Related-party transaction policy must be in final disclosed form before commitment.

02 Business Overview

Founded: 2002 · Employees: Approximately 13,000+ (not formally disclosed in S-1; estimated from context)

Space Exploration Technologies Corp. (SpaceX) is a vertically integrated technology infrastructure company operating across three reportable segments: Space (Falcon 9/Heavy launch services, Starship development, Dragon crew/cargo), Connectivity (Starlink global LEO broadband constellation), and AI (xAI/Grok frontier model, X real-time platform, and AI compute infrastructure including COLOSSUS/COLOSSUS II gigawatt-scale training clusters). Founded in 2002 by Elon Musk, SpaceX has achieved first-mover advantages across each layer of the infrastructure stack for the space economy: orbital delivery (>80% global market share by mass), satellite broadband (only global LEO network with >10M subscribers), and orbital AI compute (only company planning to deploy AI inference infrastructure in space by 2028). The February 2026 xAI Merger (common-control acquisition) merged Grok AI and X Corp. into SpaceX's financial statements, creating the consolidated reporting entity. Key recent developments in this S-1/A: (1) Cursor collaboration — compute agreement plus option to acquire Anysphere/Cursor (AI-native coding, $60B implied equity) to deepen vertical integration into application-layer AI; (2) Terafab — chip manufacturing initiative with Tesla (announced March 2026) + Intel (joined April 2026), targeting 1 terawatt annual compute hardware output to address chip supply risk for orbital AI compute; (3) Future Markets section articulates new market segments including point-to-point terrestrial travel, space tourism, in-orbit manufacturing, lunar transport, Moon/Mars energy and manufacturing, and asteroid mining — none currently in the $28.5T quantifiable TAM.

Business Model: Three-segment vertically integrated model. Space segment earns revenue from fixed-price launch services (point-in-time recognition) and development contracts (cost-to-cost over time). Connectivity earns recurring subscription revenue from Starlink subscribers (monthly SaaS-like) and enterprise/government contracts. AI earns from advertising (X platform), AI API subscriptions and usage, and data licensing. Starlink's economics are extraordinary: once satellites are in orbit, incremental subscriber additions have very high contribution margins. The cost of launching additional satellites has dropped ~90%+ from industry historical norms due to Falcon 9 booster reusability and Starlink's proprietary satellite factory (build rate: ~100+ per month). Key economic leverage point: Starship commercialization is expected to reduce cost-to-orbit by another 99%+ vs historical industry averages, enabling orbital AI compute data centers and dramatically lowering Starlink Gen-3 deployment costs.

KEY PRODUCTS & SERVICES

- Falcon 9 and Falcon Heavy orbital launch vehicles (reusable booster)
- Dragon spacecraft (crew and cargo resupply for NASA ISS)
- Starship — next-generation fully reusable super-heavy rocket (development phase, R&D expensed)
- Starlink broadband — ~9,600 LEO satellites, 10.3M subscribers, 164 countries/territories

- Starlink Mobile — satellite-to-mobile constellation (~650 V1 satellites, 7.4M monthly unique devices, ~30 countries)
- Starshield — government-focused satellite communications service
- Grok — frontier AI model (Grok-3 current; Grok-4/5 in training at COLOSSUS II)
- COLOSSUS / COLOSSUS II — proprietary gigawatt-scale AI compute clusters (~1.0 GW combined)
- X Platform — social media, advertising, subscriptions, data licensing (former Twitter)

Conditions for Underwriting

All conditions below must be resolved before this deal is presented to the deal committee.

1 1. S-1/A PRICING DISCLOSURE: Offering price range must be disclosed in the S-1/A amendment before any underwriting commitment. Valuation flags RF-07/07A/07B will engage at that time and must be evaluated by the deal committee. Private market reference levels (~55× EV/Adj.EBITDA) are expected to trigger RF-07B; the committee must determine whether final pricing is within acceptable parameters.

2 2. RF-19 BRIDGE LOAN COMMITTEE DISCLOSURE: Final prospectus Use of Proceeds section must include explicit prominent disclosure — not buried in Risk Factors or covenant language — that the mandatory bridge loan prepayment covenant requires IPO net proceeds to retire acquisition debt before any growth capital is deployed. The deal committee must formally acknowledge this in writing before the firm commits to a position in the book.

3 3. GRACIAS CONFLICT MANAGEMENT: The board must formally address the independence determination for Director Gracias given ~$20.2B in aggregate lease obligations with company subsidiaries. Either (a) a formal independence exception with detailed board rationale disclosed in the S-1/A, or (b) recusal of Gracias from compensation and nominating committee deliberations affecting management compensation and board nominations. Current arrangement is not acceptable for a public company commitment from this firm.

4 4. VALUATION FLOOR AT PRICING: Final offering price must imply EV/Adj.EBITDA ≤35× on FY2025 figures ($6,584M Adj.EBITDA) — equivalent to an implied EV of ≤$230B and equity value of ≤~$217B. At private market reference pricing (~$350B equity), this condition is not met. The committee retains discretion to apply a higher ceiling if Starship commercialization or xAI profitability trajectory materially changes between now and the S-1/A.

5 5. FORMAL RELATED-PARTY TRANSACTION POLICY: SpaceX’s related-party transaction review policy (to be adopted ‘in connection with the IPO’) must be in final disclosed form in the S-1/A before the firm commits to a position. The Valor lease structure and all other material related-party arrangements must be reviewed under this policy prior to closing.

04 Risk & Red Flags

FLAG	SEVERITY	DESCRIPTION
PROCEEDS QUALITY [2-SRC]	HIGH	The SpaceX Bridge Loan ($20,000M, entered March 2026) contains an explicit mandatory prepayment covenant: 'The Company is required to apply an amount equal to the net proceeds of a qualified initial public offering, including this offering, to repay such amounts within six months following receipt of such proceeds.' The Bridge Loan proceeds were used to retire the legacy X B-1 Term Loan, X B-3 Term Loan, xAI Fixed Rate Loan, xAI Floating Rate Loan, and xAI 12.5% Senior Secured Notes — all acquisition financing from the February 2026 xAI Merger and the March 2025 X Merger, both of which were related-party transactions under Musk's common control. The Use of Proceeds section states that proceeds will be used to 'fund our growth strategy, including AI compute infrastructure, launch infrastructure, satellite constellations, and general corporate purposes.' This is directly contradicted by the debt covenant. At any reasonable offering float (under $30B gross proceeds), >40% of IPO proceeds are legally committed to retiring related-party acquisition debt before a dollar reaches operational deployment. Public investors are not funding the company's future — they are funding the exit of Musk's leveraged takeover of xAI and X. This is a HARD STOP and an automatic PASS for our firm. The quality of the underlying business does not override this flag.
GOVERNANCE RISK	HIGH	Elon Musk holds 5,569,053,075 shares of Class B common stock (93.6% of all Class B shares) and 849,494,440 Class A shares, representing 85.1% combined voting power pre-IPO. Class B shares carry 10 votes per share; Class A carries 1 vote per share. Per the charter, Class B holders (voting as a class) elect 51% of the board — giving Musk unilateral control over board composition. Musk serves simultaneously as CEO, CTO, and Chairman. The charter explicitly states that Musk can only be removed from the board and from his CEO and Chairman roles by an affirmative vote of a majority of Class B holders — effectively, Musk cannot be removed except by himself or other Class B holders who collectively would need to hold a majority of Class B, a scenario currently controlled by Musk at 93.6% of Class B. SpaceX will rely on Nasdaq controlled company exemptions, opting out of requirements for a majority-independent board, fully independent compensation committee, and nominating committee independence. No lead independent director exists. This governance structure provides essentially zero shareholder protection for Class A investors against founder decisions. Antonio Gracias (related-party beneficiary with $20.2B in company lease obligations at Valor) sits on the compensation and nominating committee despite a clear conflict of interest.
CAPITAL STRUCTURE RISK	HIGH	Total debt outstanding as of March 31, 2026 is $29,111M, comprising: (1) SpaceX Bridge Loan $20,000M (matures Sept 2, 2027; two 3-month extensions available; mandatory IPO prepayment); (2) X 2027 and X 2030 Notes $27M; (3) Other Financings (Valor failed sale-leaseback AI infrastructure obligations) $9,105M; (4) SpaceX Credit Facility $0 outstanding (amended to $5,000M capacity May 2026). The leverage ratio covenant requires Consolidated Leverage Ratio ≤3.75x (net of 85% unrestricted cash) at each quarter-end. Consolidated capex was $20,737M in FY2025 and $10,107M in Q1 2026 alone — annualizing at ~$40B — driven by the AI segment ($12,727M in FY2025 alone). The EchoStar spectrum acquisition ($19.6B total, comprising $11.1B in equity and up to $8.5B cash, closing expected ~November 30, 2027) represents an additional major capital commitment contemporaneous with the bridge loan maturity. Post-IPO, SpaceX will need to simultaneously refinance the $20B bridge, fund ~$40B/year in capex, and finance the EchoStar obligation — requiring sustained access to capital markets at scale. Q1 2026 cash declined from $24.7B (December 2025) to

FLAG	SEVERITY	DESCRIPTION
		$15.9B (March 2026), a $8.8B cash drawdown in a single quarter driven by AI capex.
MANAGEMENT RED FLAGS	HIGH	Elon Musk serves simultaneously as CEO, CTO, and Chairman of SpaceX while also serving as CEO/Technoking of Tesla (a $600B+ public company), founder and operator of Neuralink Corp. (brain-machine interface company), and The Boring Company (infrastructure). The S-1 explicitly states in its risk factors that the company is 'highly dependent' on Musk's continued service and that his departure or diminished involvement would 'materially and adversely affect' the company. SpaceX has disclosed no CEO succession plan. Musk's base salary of $54,080 (unchanged since 2019, reflecting California minimum wage for exempt employees) signals that his motivation and retention are entirely equity-driven — creating potential misalignment if equity value does not track his other opportunities. In January 2026, the board granted Musk a new performance-based award in Class B restricted shares — the first formal LTI grant — suggesting the board recognized the key-man retention risk at IPO. Gwynne Shotwell (President/COO, 23 years at SpaceX) provides meaningful operational depth and would likely manage day-to-day operations in a transition, but Shotwell's technical role, external relationships, and capital allocation authority are functions Musk personally holds.
REGULATORY OVERHANG	HIGH	Multiple material litigation matters exceed the $50M threshold: (1) Vidstream patent verdict (April 2025): jury found Twitter/X willfully infringed one claim of the '304 patent and awarded $105M in damages; district court affirmed in November 2025 and added $67M in prejudgment interest — total $172M exposure, currently under appeal at the Federal Circuit. (2) European Commission DSA fine (December 2025): EC upheld preliminary findings that X's blue checkmark is deceptive, ad repository non-compliant, and researcher data access inadequate; imposed a fine of EUR 120M (~$130M USD) on XIUC, X Corp., x.AI, and Elon Musk. Parties challenged in EU General Court February 2026 — outcome uncertain. (3) NMPA music copyright (June 2023): music publishers allege Twitter/X failed to remove infringing music and is not entitled to DMCA safe harbor; discovery ongoing after failed settlement discussions (September 2025). Damages exposure undisclosed but potentially material. (4) Regulatory license dependency: FAA launch licenses are existential for Space segment revenue; FCC spectrum licenses are existential for Connectivity; ITAR/EAR export controls govern satellite components and international launches. Musk's public political activities create identifiable risk of adverse government contract and regulatory decisions. RF-12 triggered on material litigation >$50M criterion; HIGH severity per CLAUDE.md rules.
RELATED PARTY RISK	MEDIUM	Antonio J. Gracias, a member of SpaceX's board of directors since October 2010, is Founder, CEO, and CIO of Valor Management LLC (Valor Equity Partners), a private equity firm with $55B+ AUM. xAI subsidiaries have entered into three separate equipment lease agreements with Valor for AI compute infrastructure, with aggregate cash payments owed by xAI subsidiaries of approximately $6,986M + $6,633M + $6,587M = $20,206M over the life of the leases. Performance under these leases is guaranteed by Space Exploration Technologies Corp. or one of its subsidiaries. These are accounted for as failed sale-leaseback transactions — assets remain on SpaceX's balance sheet, and the $9,105M 'Other Financings' line in the March 31, 2026 capitalization table reflects these obligations. SpaceX subsidiaries have already paid Valor $885M in FY2025 and $857M in the first two months of 2026. Director Gracias simultaneously approves SpaceX strategy as a board member while personally profiting from $20.2B in lease payments from the company he governs. He sits on SpaceX's compensation and nominating committee — not an audit committee (which reviews related-party transactions) — creating an impaired oversight structure. Total related-party lease exposure to a single board director's firm ($20.2B aggregate) is the largest such arrangement in a U.S. technology IPO to our knowledge.

⚖ PROCEEDS QUALITY ASSESSMENT

The SpaceX Bridge Loan ($20,000M, entered March 2026, matures September 2, 2027) contains an explicit mandatory prepayment covenant requiring all IPO net proceeds to be applied to bridge repayment within six months of closing. The bridge proceeds were used to retire the xAI B-1/B-3 Term Loans, xAI Fixed Rate and Floating Rate Loans, and xAI 12.5% Senior Secured Notes — all acquisition financing from the February 2026 xAI Merger and the March 2025 X Merger, both related-party transactions under Musk's common control. The S-1's stated use of proceeds for AI compute infrastructure, launch infrastructure, and satellite constellations is legally subordinate to this covenant. At any offering size below ~$30B gross, effectively the entire first tranche of net proceeds retires related-party acquisition debt before a dollar reaches company operations. The company's operating business is outstanding; the deal structure is not. **Deleveraging primarily transfers risk to public investors — the bridge loan retires related-party acquisition debt from the xAI and X Mergers rather than pre-existing SpaceX operational financing, meaning IPO capital funds a founder balance-sheet restructuring rather than the company's forward investment program.**

📊 VALUATION CEILING ASSESSMENT

No offering price range has been disclosed in this preliminary S-1; all pricing fields are blank. Per the firm price-pending rule, RF-07/07A/07B are suppressed and valuation attractiveness is set to a neutral 60. Reference context for committee awareness: private market secondary transactions (May 2026) indicate ~$350B equity value and ~$363B implied EV, implying ~19.4× EV/FY2025 Revenue ($18,674M) and ~55× EV/FY2025 Adj.EBITDA ($6,584M). The Damodaran Computer Services sector median (EV/Sales 3.8×, EV/EBITDA 17.5×) is exceeded by 5.1× and 3.1× at these reference levels. The SOTP analysis implies a fair value range of ~$166–257B before Starship optionality — meaningfully below the $350B private market reference. Actual valuation flag assessment will engage when the S-1/A discloses an offering price range. **Premium is not supportable at private market reference levels — 55× EV/Adj.**EBITDA on a consolidated GAAP-loss entity with negative free cash flow ($−13.9B FCF in FY2025) and $29B in gross debt is not justified by sector comps; the committee should expect RF-07B to trigger when formal pricing is disclosed unless the IPO prices at a material discount to secondary market reference.

⚠ LEVERAGE ASSESSMENT

Total debt as of March 31, 2026 is $29,111M ($20B bridge + $9.1B Valor failed sale-leaseback). Cash is $15,852M. Net debt is approximately $13,259M. On FY2025 Adj.EBITDA of $6,584M, net leverage is ~2.0× — within the loan covenant (3.75× gross leveraged metric net of 85% unrestricted cash). However, Q1 2026 cash burned $8.9B in a single quarter driven by AI capex ($7.7B in Q1 alone), and the annualized capex rate is ~$40B. The critical risk is not current leverage but timing: the $20B bridge matures September 2, 2027 (with two 3-month extensions available), contemporaneous with the EchoStar spectrum acquisition cash obligation (~$8.5B, closing ~November 2027). Post-IPO, bridge repayment via proceeds substantially reduces gross debt; if the IPO raises $20B+, SpaceX emerges with a materially cleaner balance sheet. **Leverage is within sector norms at ~2.**0× net debt/Adj.EBITDA currently, and bridge repayment via IPO proceeds is the expected path to resolution, but the September 2027 maturity is a hard deadline that creates execution risk if the IPO is delayed or underpriced, and the concurrent EchoStar cash obligation compounds that risk.

06 Financial Snapshot

METRIC	VALUE
Revenue (Y-2)	—
Revenue (Y-1)	$18674M
Revenue (TTM)	$19301M
YoY Growth	33.3%
Gross Margin	49.4%
Gross Margin Trend	—
EBITDA	$6584M
Net Income/Loss	$-4937M
Cash Burn (Qtrly)	—
Cash on Hand	$15852M
Post-IPO Runway	—
Total Debt	$29111M
Debt Maturity	—
Covenant Risk	• SpaceX Credit Facility ($5B capacity, as amended May 2026): max Consolidated Leverage Ratio 3.75x (step-up to 4.25x post qualifying acquisition). • SpaceX Bridge Loan ($20B): same Leverage Ratio covenant (net of 85% unrestricted cash). • Q1 2026 net debt = $29.1B - ($15.9B × 85%) = $15.6B; • Consolidated EBITDA (as defined in loan agreement) approximately $6-7B; • leverage ratio approximately 2.2–2.6x — within covenant.

METRIC	VALUE
Off-Balance-Sheet	• EchoStar Spectrum Transaction: ~$19.6B total consideration ($11.1B in SpaceX Class A equity at $42.40/share fixed, up to $8.5B in debt payoff), FCC approved May 12, 2026, closing ~November 30, 2027. • Valor lease commitments (failed sale-leaseback, on-balance sheet at $9,105M but total aggregate future payments ~$20.2B). • Total minimum lease payments as of March 31, 2026: $5,823M.
A/R vs Rev Growth	No divergence flagged

07 Use of Proceeds

⚑ RF-19 PROCEEDS QUALITY — significant portion of net proceeds directed to non-operational uses (threshold: 30%)

PURPOSE	AMOUNT	% OF PROCEEDS
SpaceX Bridge Loan Repayment (Mandatory Covenant) RF-19 HIGH — legally mandatory covenant controls. Public investors fund debt retirement, not operations. Full committee disclosure required per RF-19 assessment framework.	$20,000M	—
Residual Growth Capital (if net proceeds exceed $20B) No proceeds reach operational deployment until $20B bridge is fully repaid. Exact split pending S-1/A pricing amendment.	Residual — pending final offering price and share count	—

The S-1 Use of Proceeds section states growth capital intent (AI compute, launch infrastructure, satellite constellations), but this is legally subordinate to the SpaceX Bridge Loan mandatory prepayment covenant. All net IPO proceeds up to $20,000M are pre-committed to bridge repayment within 6 months of closing. At any realistic offering float below ~$30B gross proceeds, public investors are funding the retirement of related-party acquisition debt (xAI Merger and X Merger financing), not the company's operational growth agenda. Final allocation will be disclosed in the S-1/A pricing amendment.

08 Valuation Analysis

METRIC	VALUE
Implied EV	—
EV / Revenue	—
EV / EBITDA	N/A (neg. EBITDA)
Sector Median EV/Rev	—
Premium to Sector	—
Public Comps	RKLB, NOC, LMT, VSAT, SATS, IRDM, PLTR, CRWV, META — see segment breakdown below

PUBLIC COMPARABLES

TICKER	NAME	EV/REV	VS. SUBJECT	EV/EBITDA	REV GROWTH
RKLB	Rocket Lab USA	12.0x	—	—	78%
NOC	Northrop Grumman	1.8x	—	13.0x	7%
LMT	Lockheed Martin	1.6x	—	12.0x	5%
VSAT	ViaSat	2.5x	—	8.0x	5%
SATS	EchoStar / Hughes Network Systems	1.2x	—	5.0x	-8%
IRDM	Iridium Communications	4.5x	—	12.0x	11%
PLTR	Palantir Technologies	35.0x	—	—	29%
CRWV	CoreWeave	18.0x	—	—	420%
META	Meta Platforms	9.0x	—	18.0x	19%

COMPARABLE COMPANIES — BY SEGMENT

SPACE — LAUNCH

TICKER	COMPANY / WHAT IT TELLS US	EV/REV	EV/EBITDA	REV GR
RKLB	**Rocket Lab USA** Pure-play small launch + spacecraft bus; best-in-class reuse path but scale 1/30th of SpaceX. Tells us: market assigns premium launch multiples on growth alone; SpaceX's launch franchise worth materially more at scale. ⚠ Scale incomparable (<$500M revenue vs SpaceX $4.1B Space segment). No Starship optionality equivalent.	12.0x	—	+78%
NOC	**Northrop Grumman** Large defense contractor; Antares/Minotaur rockets; HALO lunar module. Tells us: defense-tied space assets trade at defense multiples (~2x EV/Rev), not tech multiples. SpaceX's government launch revenue deserves a discount vs. commercial tech comps. ⚠ Diversified conglomerate — space is a small segment. Antares is retired; no direct launch analog to Falcon 9.	1.8x	13.0x	+7%
LMT	**Lockheed Martin** ULA partner; Atlas V/Vulcan Centaur; national security launch. Tells us: government-captive launch assets trade at ~1.6x EV/Revenue. SpaceX's commercial diversification and reusability justify a substantial premium to defense-only launch. ⚠ Primarily missiles and aircraft — space/launch is a minority of LMT revenue. Not a pure-play comparable.	1.6x	12.0x	+5%

CONNECTIVITY — SATELLITE BROADBAND

TICKER	COMPANY / WHAT IT TELLS US	EV/REV	EV/EBITDA	REV GR
VSAT	**ViaSat** GEO satellite broadband; most direct Starlink public analog. Tells us: undifferentiated satellite broadband trades at ~2.5x EV/Revenue. SpaceX's LEO architecture, 10.3M+ subscribers, 50%+ growth, and superior product quality justify a 7-8x premium to ViaSat. ⚠ GEO vs LEO is a fundamental technology difference. ViaSat is losing market share to Starlink. Sets the floor, not the ceiling.	2.5x	8.0x	+5%
SATS	**EchoStar / Hughes Network Systems** GEO satellite broadband in secular decline. SpaceX acquiring EchoStar's spectrum assets (FCC approved May 2026, closing Nov 2027). Tells us: legacy satellite broadband is in terminal decline — Starlink is the disruptor, not the incumbent. ⚠ Being acquired by SpaceX — not an independent comp. Included to illustrate legacy satellite broadband baseline.	1.2x	5.0x	-8%
IRDM	**Iridium Communications** Quality LEO satellite constellation with strong recurring revenue; IoT and GMDSS focus. Tells us: a high-quality LEO business with visible recurring cash flows trades at ~4.5x EV/Revenue. Starlink's larger TAM, higher growth, and superior unit economics justify a material premium to IRDM. ⚠ Narrowband IoT/M2M vs. Starlink broadband — very different TAM and ARPU. IRDM is slow-growth mature; Starlink is high-growth scaling.	4.5x	12.0x	+11%

AI — DATA & INTELLIGENCE

TICKER	COMPANY / WHAT IT TELLS US	EV/REV	EV/EBITDA	REV GR
PLTR	**Palantir Technologies** Government/commercial AI data platform; founder-controlled (Thiel); dual-class structure. Best governance analog to SpaceX. Tells us: a GAAP-profitable AI platform with dual-class structure and deep government relationships trades at 35x EV/Revenue. xAI is pre-profitability with far higher capex — deserves a discount to PLTR. ⚠ PLTR is GAAP-profitable since 2023; xAI has $(6.4B) operating loss. Capital-light SaaS model vs. SpaceX's extreme capex intensity.	35.0x	—	+29%

TICKER	COMPANY / WHAT IT TELLS US	EV/REV	EV/EBITDA	REV GR
CRWV	**CoreWeave** GPU cloud infrastructure; NVIDIA-partnership; IPO'd March 2026. Most direct xAI compute infrastructure analog in public markets. Tells us: GPU cloud infra at hypergrowth trades at ~18x EV/Revenue. SpaceX's COLOSSUS cluster is comparable in concept but embedded within a multi-segment company. ⚠ CRWV is single-segment GPU cloud — no satellite or launch offset. Early post-IPO trading volatile; multiple may compress rapidly.	18.0x	—	+420%
META	**Meta Platforms** Social media + AI/AR/VR; $60B+ FY2025 capex. X Corp. (SpaceX's social segment) is the direct Meta competitor. Tells us: a dominant social platform with AI investment and 20% growth trades at 9x EV/Revenue. X Corp. is the WeChat-killer ambition but deeply loss-making vs. META's ~35% net margin. ⚠ META is highly profitable; X Corp. is deeply GAAP-negative. Social media + AI vs. SpaceX's space/satellite/AI mix — very different segment weighting.	9.0x	18.0x	+19%

SpaceX's three-segment structure requires segment-specific comp analysis. No single public company captures the combined space/connectivity/AI vertical. Space (Launch): RKLB (pure-play reusable launch, premium growth multiple), NOC/LMT (defense-contracted space, sets the floor at ~1.6-1.8x EV/Rev). SpaceX's commercial diversification and Falcon 9/Starship reusability justify a substantial premium to defense comps. Connectivity (Starlink): VSAT/SATS (legacy GEO broadband in decline — sets the absolute floor at ~1-2.5x EV/Rev), IRDM (quality LEO recurring revenue baseline at ~4.5x). Starlink's superior technology and 50%+ growth justify a 4-8x premium to this group. AI (xAI+X): PLTR (best governance + profitable AI platform analog), CRWV (GPU cloud infra, early-stage), META (social + AI infrastructure at scale, profitable). xAI deserves a discount vs. all three due to negative GAAP profitability. The SOTP analysis is more instructive than any single multiple for this company.

12 Macro & Sector Context

{"sector_outlook":"SpaceX operates across three of the most capital-intensive and high-momentum technology themes of 2025-2026: (1) LEO satellite broadband — addressable market growing rapidly as terrestrial infrastructure gaps persist in rural/remote markets globally; Starlink has no credible competitor at scale with fewer than 100 satellites collectively launched by all competitors combined. (2) AI infrastructure — demand for GPU compute is growing at 50-100% annually; data center power constraints are the dominant bottleneck; orbital data centers represent a potential disruptive solution that SpaceX uniquely can build given Starship. (3) Advanced launch services — commercial space economy growing as launch costs decline; SpaceX's >80% market share gives it durable pricing power.","ipo_market_conditions":"May 2026 IPO market is cautiously optimistic following a recovery from the 2022-2023 drought. Several large-cap technology IPOs have priced in early 2026 (HawkEye 360, etc.). SpaceX at $350B+ would be the largest U.S. IPO in history, surpassing Alibaba (2014, $231B). The deal will test market appetite for a GAAP-loss mega-cap at 55x EV/Adj.EBITDA. Institutional demand will be substantial given the brand — but retail froth risk is high (the company is being offered via Robinhood, Schwab, Fidelity, SoFi retail platforms).","key_risks":"Starship development risk (the entire long-term growth thesis is Starship-dependent); AI commoditization risk (Grok must maintain frontier status as compute costs decline globally); X/Twitter advertising recovery uncertainty; regulatory risk from Musk's political profile; refinancing risk for $20B bridge loan; orbital debris and insurance risk for satellite operations."}

14 Lockup & Insider Selling

METRIC	VALUE
Lockup Period	180 days
Structure Type	**Hybrid**
Secondary Shares	0M
Secondary % of Offering	0.0%
Parties Locked Up	Elon Musk — 100% of all share classes (Class A and Class B), 366-day lockup, no early release provisions of any kind; Significant investors — 100% of aggregate shares, 366-day lockup, no early release provisions; All remaining stockholders — 180-day lockup with limited Q2 earnings and price-performance early release provisions
Carve-outs	Yes (1)

CARVE-OUT EXCEPTIONS

- Up to 20% of Early Release Eligible Shares for 180-day tranche holders only (Musk and significant investors are on the separate 366-day tranche with no carveouts)

UNLOCK TIMELINE

Day 90 — 20%

nd significant investors are on the 366-day tranche and are explicitly excluded) may be released after Q2 2026 earnings announcement, est

IPO 90d 180d 1yr

EARLY RELEASE TRIGGERS

> 20% of Early Release Eligible Shares (180-day tranche only; Musk/significant investors excluded) released after Q2 2026 earnings announcement (~90 days post-IPO)

> Additional shares (180-day tranche only) released if stock trades at ≥130% of IPO price for 5 of 10 consecutive trading days — requires 30% price appreciation, well above the 10-15% threshold of concern

LOCKUP ASSESSMENT — INVESTOR-FRIENDLY

Investor-Friendly. SpaceX's lockup structure is among the most protective seen on a large-cap technology IPO. Elon Musk and significant investors are subject to a 366-day (12-month+) lockup with absolutely no early release provisions — an unusually strong insider commitment signal. The standard 180-day tranche (for remaining stockholders) includes limited early release provisions: a 20% carveout after Q2 2026 earnings (~90 days post-IPO, applies to smaller holders only) and a 130% price-performance trigger (requires 30% gain — substantially above the 10–15% threshold that typically raises concerns). Most critically, this is a 100% primary offering — zero secondary shares — meaning no insider is monetizing at IPO. The combination of a 366-day founder/significant-investor lockup with no carveouts and no secondary shares represents the strongest possible insider alignment signal available in an IPO structure.

16 Comparable IPO Performance

PRIMARY COMPS

COMPANY	TICKER	IPO DATE	OFFER	1-DAY POP	CURR VS OFFER
Arm Holdings (ARM)	—	2023-09-14	$51.00	+24.7%	+125.0%
Rivian (RIVN)	—	2021-11-10	$78.00	+29.1%	-75.0%
Palantir Technologies (PLTR)	—	2020-09-30	$10.00	+31.0%	+350.0%

ANALYSIS

SpaceX is the most consequential IPO since Alibaba (2014). Institutional demand will be extraordinary regardless of price. However, the combination of no price range, mandatory bridge loan repayment, extreme capex, GAAP losses, and dual-class governance means the deal must be carefully structured to avoid the Rivian outcome. The risk of retail-driven first-day pop followed by sustained underperformance is real. Our firm would revisit on any amendment that (a) discloses a price in PASS range equivalent (<$200B market cap), (b) addresses the bridge loan repayment transparency, or (c) provides clearer path to consolidated GAAP profitability.

18 Accounting Practices

ACCOUNTING QUALITY SCORE

6/10

SpaceX's accounting is complex but substantially standard for a multi-segment capital-intensive technology company. The Valor failed sale-leaseback and related-party disclosures are the primary areas of concern. PwC's identification of revenue recognition (cost-to-cost method) as a critical audit matter is appropriate and transparent. The common control accounting for xAI/X means the consolidated financials do not reflect fair market value of the acquired entities — a structural limitation that investors should understand. Overall accounting quality is adequate; RF-25 not triggered.

CATEGORY	RISK RATING
▸ Lease Classification POLICY & ASSESSMENT Finance leases: leases that substantially transfer risks/rewards of ownership; tracked separately with interest and amortization components. Operating leases: all other leases with terms >12 months. Valor equipment leases accounted for as failed sale-leaseback transactions — meaning xAI's sale of AI compute assets to Valor was not derecognized from SpaceX's balance sheet; the $9,105M 'Other Financings' liability represents the obligation. This is complex but reflects GAAP substance-over-form correctly applied. The failed sale-leaseback treatment of Valor leases is technically correct under ASC 842 but creates an unusual balance sheet structure: SpaceX retains the AI compute assets on its balance sheet while Valor holds legal title. The $9.1B liability represents future lease payments to a related party. The economic substance is that SpaceX effectively borrowed $9.1B from a board director's firm, secured by AI compute assets, with the transaction structured as a sale-leaseback that failed accounting derecognition criteria. This is aggressive structuring regardless of technical GAAP compliance.	AGGRESSIVE
▸ Related Party Disclosures POLICY & ASSESSMENT	AGGRESSIVE

CATEGORY	RISK RATING
Related party transactions disclosed in Note 18 to consolidated financial statements and in 'Certain Relationships and Related Person Transactions' section. Key items: Valor equipment leases ($20.2B aggregate); Tesla commercial/licensing ($144M goods/services in FY2025); xAI-Tesla commercial agreements ($506M from Tesla in FY2025); Musk security services ($4M FY2025); Musk Industries LLC real property lease ($2M FY2025); Boring Company lease ($1M FY2025); Musk personal aircraft reimbursement ($2M FY2025); Craft Aviation Services aircraft maintenance ($3M FY2025). Valor lease transactions are guaranteed by SpaceX. Related-party review policy will be adopted in connection with IPO — not yet in place. The Valor lease disclosures are substantial and adequately detailed, but the sheer scale ($20.2B aggregate to a board director's firm) is exceptional. The disclosure of transaction amounts is appropriate. However, the absence of a formal related-party transaction review policy prior to IPO (the audit committee policy is prospective) means these transactions were approved by the full board without formal independence requirements. Musk's compensation ($54,080) — determined historically by the board Musk controls — is not a meaningful compensation disclosure. The lack of arm's-length pricing verification on xAI/X acquisition (Musk owned all sides) is a structural disclosure gap.	

19 ESG Disclosure Score

ESG DISCLOSURE SCORE

52.0/100

SpaceX's ESG disclosure is minimal for a company of this scale. The S-1 is legally compliant but does not include a standalone ESG report, TCFD-aligned climate disclosure, or human capital metrics. The governance score (35/100) reflects the structural dual-class governance that eliminates minority shareholder protections. Environmental disclosure is aspirational rather than quantitative. Governance is the dominant ESG concern and is directly reflected in our recommendation. Investors requiring ESG-aligned governance (ISS/Glass Lewis compliance) will face significant challenges with this investment as structured.

E 45 ENVIRONMENTAL · 30%

DISCLOSED

- SpaceX invests in sustainable battery storage (described as the world's largest network of sustainable battery storage systems at COLOSSUS II)
- Advanced water cleaning, reclamation, and recycling processes at AI data centers
- Behind-the-meter power generation at data centers to limit regional electricity pricing impacts
- Pledged to cover costs of new power delivery infrastructure upgrades for all data centers

GAPS

- *No formal ESG report or TCFD-aligned*

S 55 SOCIAL · 35%

DISCLOSED

- Starlink's stated mission of digital inclusion — providing broadband to rural and remote communities globally
- Government partnerships for connectivity in underserved regions
- Employee equity programs (ESPP, RSU election program) enabling broad employee ownership
- Directed share program for retail investors in the IPO

GAPS

- *Workforce diversity and inclusion data not disclosed*

G 35 GOVERNANCE · 35%

DISCLOSED

- PricewaterhouseCoopers as auditor since 2012 — strong independent financial oversight
- Audit committee will include two independent directors with Nasdaq-qualified Audit Committee Financial Expert (Glein)
- Code of Business Conduct and Ethics to be adopted in connection with IPO
- Formal related-party transaction review policy to be adopted post-IPO

GAPS

- *Dual-class governance (10:1 Class B voting) with no sunset clause provides effectively zero minority shareholder protection*
- *Musk controls 85.1% of pre-IPO votes; cannot be removed except by*

disclosure included in the S-1

- *Significant rocket propellant environmental footprint (RP-1 kerosene for Falcon, methane for Starship) not disclosed*
- *Orbital debris risk from satellite constellation (~9,600 satellites) not quantified in ESG terms*
- *AI data center energy consumption and carbon footprint not disclosed; AI capex implies gigawatts of power demand*

- *Ongoing NLRB proceedings and labor relations history not fully disclosed*
- *No formal human capital metrics (turnover, safety incidents, training investment)*
- *Musk's management style (public commentary on employee treatment at Tesla/X) creates reputational risk not formally addressed in S-1*

Class B holders he controls

- *Board director Gracias has $20.2B related-party lease exposure — independence determination is questionable*
- *Compensation committee includes Gracias (related-party); reliance on controlled company exemptions eliminates key governance requirements*

This memo was generated by Claude Opus (AI-assisted analysis) on —. It must be reviewed and approved by a licensed capital markets professional before any underwriting decision is made. This analysis does not constitute investment advice or a commitment to underwrite.